# Dr Reddys Laboratories Ltd

Healthcare | Pharmaceuticals | Latest FY: Mar-24 | ₹ Crore

**DRREDDY**

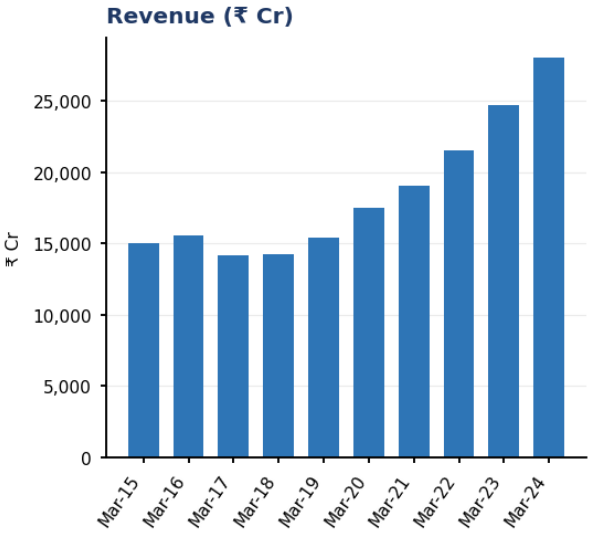


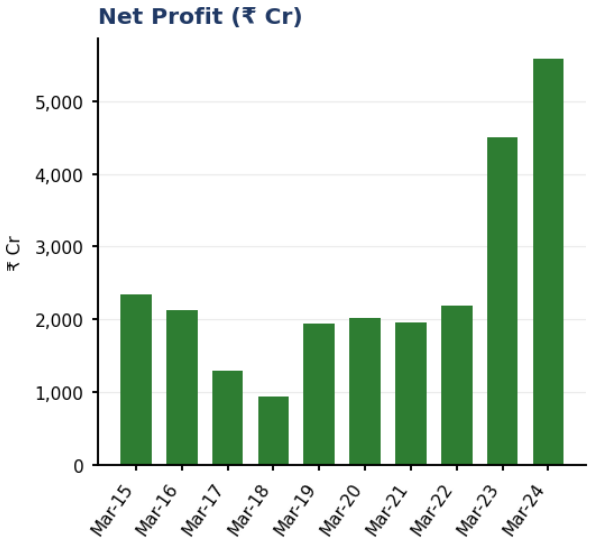
## Key Performance Indicators

| RETURN ON EQUITY | RETURN ON CAPITAL EMPLOYED | OPERATING PROFIT MARGIN |
|---|---|---|
| **19.7%** | **21.4%** | **28.3%** |
| ▲ +0.4 pts vs Mar-23 | ▲ +0.2 pts vs Mar-23 | ▲ +2.1 pts vs Mar-23 |

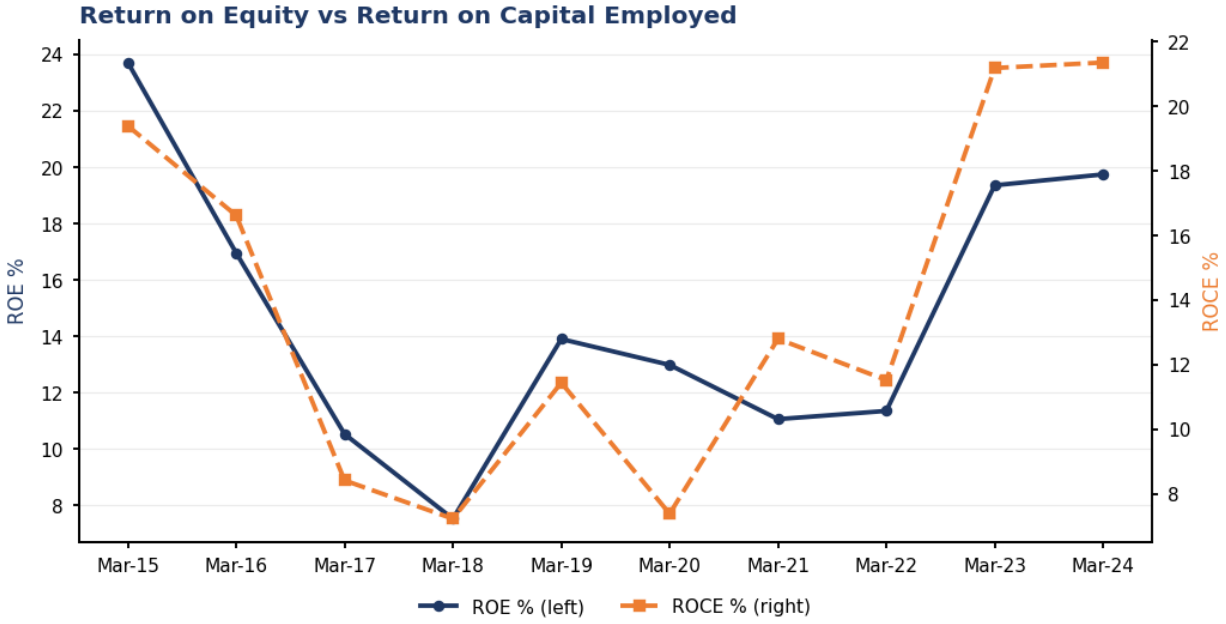
| DEBT / EQUITY | REVENUE CAGR (5Y) | NET PROFIT CAGR (5Y) |
|---|---|---|
| **0.07x** | **12.6%** | **23.4%** |
| ▲ +0.01x vs Mar-23 | compound annual rate | compound annual rate |

## 10-Year Revenue and Net Profit




## Return on Equity and Return on Capital Employed

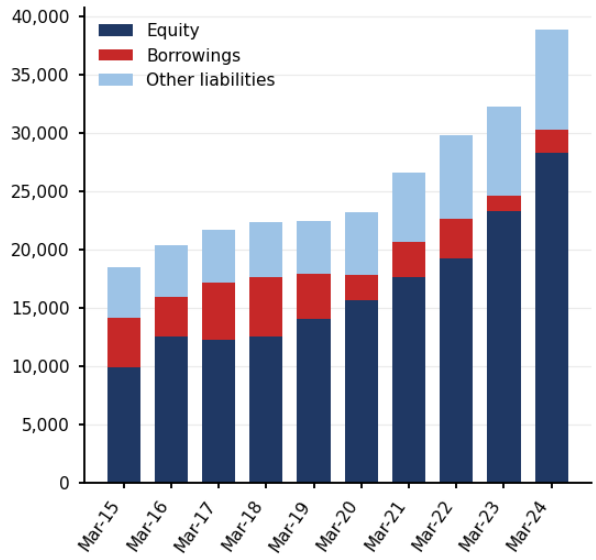




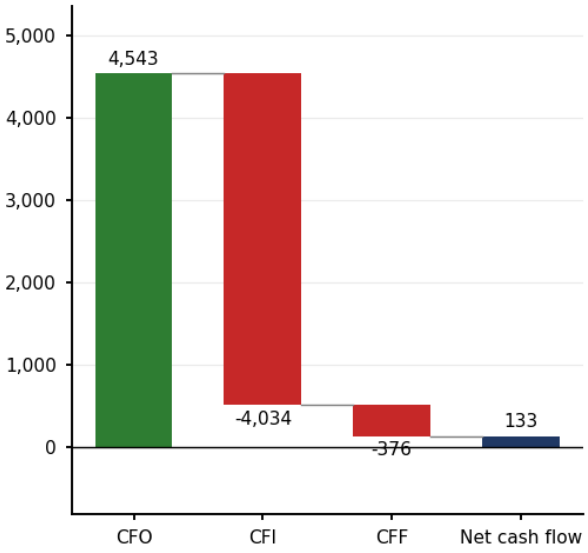

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

## Balance Sheet Composition and Latest-Year Cash Flow

### Balance Sheet Composition (₹ Cr)




### Cash Flow Waterfall – Mar-24 (₹ Cr)




## Capital Allocation

**Reinvestor**

**Pattern history** (CFO / CFI / CFF signs): Mar-21: Reinvestor → Mar-22: Reinvestor → Mar-23: Reinvestor → Mar-24: Reinvestor

## Cash Flow Intelligence

| CFO QUALITY (5Y CFO/PAT) | CAPEX INTENSITY | FCF CONVERSION | FCF CAGR (5Y) | FLAGS |
|---|---|---|---|---|
| **1.34x** | **12.2%** | **26%** | **-24.7%** | **None** |
| High Quality | Capital Intensive | FCF / operating profit | | |

## Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing (95%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (89%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (86%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (83%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (82%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (82%)

*+2 more in pros_cons_generated.csv*

## Cons

- 5-year net profit CAGR of 23.4% is below the Healthcare sector median of 24.0% (65%)



Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.